

Confidential Information Memorandum

Project Kestrel

Kestrel Fleet Intelligence Inc. | Commercial Fleet Maintenance Software

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Prepared by Cardinal & Vale Advisors · FY25

Executive summary

Kestrel predicts maintenance events for commercial truck fleets using telematics feeds, and schedules service before a vehicle fails in transit.

The business is a commercial fleet maintenance software platform founded in 2018 and employing 73 people from its Austin, Texas headquarters. Approximately **95%** of total revenue is recurring subscription revenue; revenue grew **22%** year over year in FY25.

Model quality improves with fleet-miles observed, and the data asset is difficult for a new entrant to assemble.

The business

Kestrel predicts maintenance events for commercial truck fleets using telematics feeds, and schedules service before a vehicle fails in transit.

Revenue is contracted under written agreements with defined renewal terms. Implementation is delivered by the company's own team, and ongoing support is included in the subscription for all customer tiers.

Model quality improves with fleet-miles observed, and the data asset is difficult for a new entrant to assemble.

Market overview

The commercial fleet maintenance software market is fragmented, with a long tail of regional providers and no single vendor holding a dominant national share. Buyers are operationally conservative and replacement cycles are measured in years rather than quarters.

Management believes the addressable market continues to expand as smaller operators retire spreadsheet-based and paper processes, and as regulatory reporting obligations increase the cost of manual compliance.

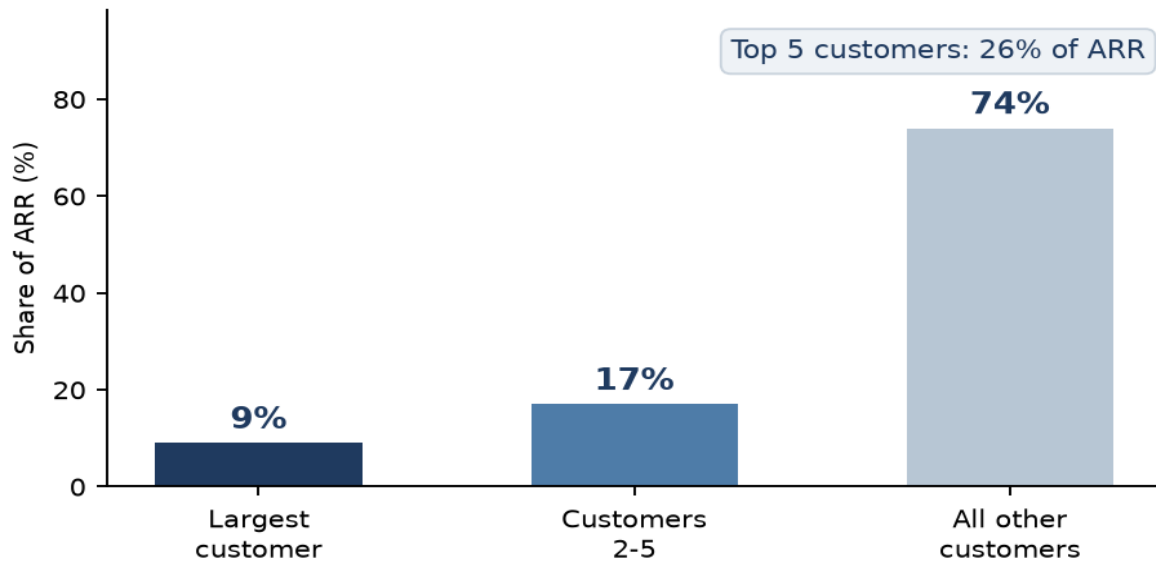
Product

The platform is delivered as a hosted application with role-based access, configurable workflow, and an audit trail across every transaction. Customers access the system through a browser; a mobile companion application covers field workflows.

The published integration surface covers accounting, payments and reporting endpoints, and a documented API supports customer-built extensions.

Customer base

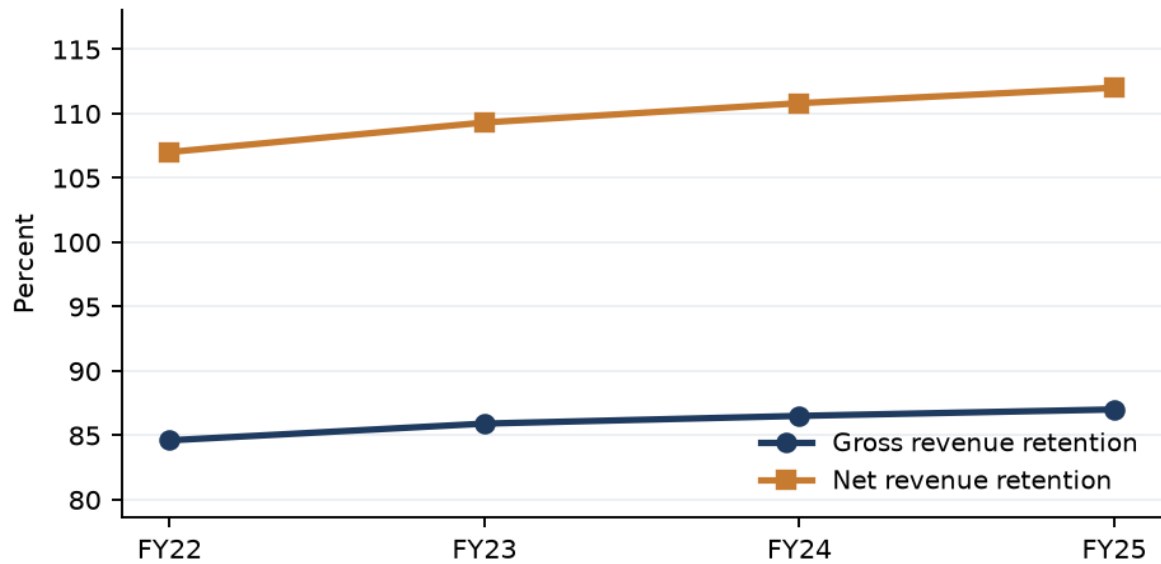
The customer base is contracted on written agreements with staggered renewal dates. The chart below sets out the distribution of annual recurring revenue across the customer base.



Distribution of annual recurring revenue by customer, FY25.

Retention

Retention has been measured on a consistent basis across the periods shown. Gross retention excludes expansion; net retention includes expansion, upsell and contraction within the existing base.



Gross and net revenue retention, FY22 to FY25.

Financial summary

The table below summarises FY25 performance. Figures are unaudited and prepared by management.

Metric	FY25	Basis
Annual Recurring Revenue	\$9.6M	Contracted, annualised
Monthly Recurring Revenue	\$800K	Exit month
Gross margin	71%	Excl. amortisation
EBITDA	-\$2.4M	Adjusted

Adjusted EBITDA reflects add-backs for one-time transaction preparation costs and non-recurring legal expenses.

Management and organisation

A venture-backed team hired for growth. The CRO and VP Engineering both joined within the last eighteen months.

Total headcount is 73. The company operates from a single office in Austin, Texas with a distributed support function.

Technology

Event-driven services on a managed cloud platform. Engineering headcount is 41 of 73 employees.

Security controls include role-based access, encryption in transit and at rest, and an annual third-party penetration test.

Growth initiatives

Management has identified three near-term initiatives: expanding the integration catalogue, introducing usage-based modules alongside the core subscription, and extending into adjacent operator segments already served informally today.

Transaction process

Indications of interest are requested by the date set out in the process letter. Management presentations will be scheduled with selected parties, and access to a virtual data room will follow execution of a confidentiality agreement.

Enquiries should be directed to the advisor named on the cover.